INDUSTRIAL NET LEASE (MANUFACTURING)

This Industrial Net Lease (the “Lease”) is entered into by and between Ironclad Industrial Holdings, a Michigan limited liability company (“Landlord”), and Midwest Precision Manufacturing, LLC, a Michigan limited liability company (“Tenant”), effective as of January 1, 2025.

Premises	See Exhibit A (Floor Plan Description).
Building	As defined in the Lease; includes common areas as amended from time to time.
Commencement Date	As stated in Section 2 and the Commencement Memorandum.
Base Rent	See Section 3 and Rent Schedule.
Use	See Section 4.
Security Deposit	See Section 6.
Insurance	See Section 12.
Governing Law	State of Michigan.

1. DEFINITIONS

“Premises” means approximately 50,000 rentable square feet in the Building located at 4800 Foundry Park Drive, Livonia, Michigan, as depicted on Exhibit A.

“Operating Expenses” means all costs of operation, repair, replacement, and maintenance of the Project, including property taxes, insurance, utilities to common areas, security, snow removal, landscaping, management fees (not exceeding 3% of gross receipts), capital improvements that reduce Operating Expenses amortized over useful life, but excluding (i) Landlord’s income taxes, (ii) debt service, (iii) costs reimbursed by other tenants, (iv) leasing commissions, and (v) costs of correcting latent defects.

“Hazardous Materials” includes substances defined in CERCLA, RCRA, and applicable Michigan environmental laws, including oils, solvents, and industrial byproducts.

2. TERM; COMMENCEMENT; DELIVERY CONDITION

The Term is 5 years beginning on February 1, 2025 (“Commencement Date”). If substantial completion of Landlord’s Work is delayed due to Force Majeure, the Commencement Date shall be delayed day-for-day.

Delivery Condition: roof watertight; dock doors operable; 3-phase electrical service with a minimum of 3,000A capacity; clear height 24 feet; floor load 4000 lbs/psf; lighting to office/warehouse standards; all building systems in good working order. Tenant accepts Premises ‘as-is’ subject to Landlord’s Work and punch list.

3. RENT; ESCALATION; OPERATING EXPENSES (NNN)

Base Rent: Year 1 $45,000/month; escalating 3% annually on each anniversary. Late charge: 5% of unpaid amount plus default interest at lesser of 10% per annum or the maximum allowed by law.

Operating Expenses/CAM: Tenant shall pay its Proportionate Share (100% if single-tenant; otherwise, premises RSF / building RSF) of Operating Expenses monthly as Additional Rent. Landlord shall provide an annual reconciliation; credits/debits shall be paid within 30 days. Tenant may audit statements within 180 days; overcharges >3% require Landlord to reimburse reasonable audit costs.

Utilities: Premises shall be separately metered for electricity and gas; water/sewer pro-rated. Tenant shall not exceed power capacity without Landlord consent.

4. USE; COMPLIANCE

Permitted Use: precision machining and metal fabrication, warehousing, and ancillary office. Tenant shall comply with all laws, including OSHA, NFPA, and EPA rules.

Nuisance: Tenant shall not cause excessive noise, vibration, or emissions perceptible outside Premises beyond industry norms; Tenant shall install vibration isolation for heavy equipment where reasonably necessary.

5. MAINTENANCE AND REPAIRS

Landlord: structural elements, roof membrane, exterior walls, foundation, and main utility laterals.

Tenant: non-structural interior, dock equipment, doors/levelers, lighting, MEP systems within Premises, and routine HVAC service agreements (quarterly).

Alterations: Tenant may make non-structural alterations upon 10 business days' notice and Landlord's consent (not unreasonably withheld). All work shall comply with lien laws; Tenant shall obtain lien waivers and provide as-built drawings.

6. SECURITY DEPOSIT; LETTER OF CREDIT

Security Deposit: $90,000 or, at Tenant's election, an evergreen, irrevocable letter of credit issued by a U.S. bank acceptable to Landlord. Landlord may draw upon uncured default. Balance restored by Tenant within 10 days of draw.

7. INSURANCE; WAIVER OF SUBROGATION

Tenant: CGL $2,000,000 per occurrence/$4,000,000 aggregate; property insurance on Tenant's property and improvements on a special form replacement cost basis; pollution legal liability if hazardous materials are used above de minimis thresholds.

Landlord: maintains building insurance and rental value coverage.

Mutual waiver of subrogation to the extent covered by insurance.

8. HAZARDOUS MATERIALS; ENVIRONMENTAL

Tenant shall not generate, store, release, or dispose of Hazardous Materials except in compliance with law and best industry practices. Tenant shall implement spill prevention and countermeasure plans (SPCC) as applicable and maintain SDS records.

Environmental Indemnity: Tenant shall indemnify, defend, and hold Landlord harmless from claims arising from Tenant Environmental Conditions, including investigation, remediation, and governmental penalties, except to the extent caused by Landlord's negligence or preexisting conditions.

Testing/Access: Landlord may conduct environmental testing on reasonable notice; if contamination is discovered attributable to Tenant, Tenant shall pay costs.

9. CASUALTY; CONDEMNATION

Casualty: If the Premises are materially damaged, Landlord shall repair within a commercially reasonable time; Base Rent abates proportionately. If restoration is not feasible within 270 days, either party may terminate by notice within 30 days after determination.

Condemnation: A taking of substantially all of the Premises or access/parking materially impairing use allows either party to terminate; awards belong to Landlord except Tenant's relocation costs and value of its FF&E.;

10. ASSIGNMENT; SUBLETTING

Tenant shall not assign or sublease without Landlord's consent (not unreasonably withheld). Landlord may recapture all or part of the Premises proposed for assignment/sublet. If not recaptured, 50% of net sublease/assignment profit (after reasonable costs) shall be paid to Landlord.

Permitted Transfers: to affiliates or in connection with merger, consolidation, or sale of substantially all assets, provided net worth is not less than immediately prior and notice is given.

11. DEFAULT; REMEDIES

Monetary default uncured within 5 days after notice; non-monetary default uncured within 30 days (or such longer period if cure commenced and diligently pursued) constitutes an Event of Default.

Remedies: termination, recovery of possession, acceleration of Rent, and all remedies at law or equity subject to mitigation and Michigan law. Landlord shall use commercially reasonable efforts to relet. Tenant liable for reasonable re-letting costs.

12. SUBORDINATION; SNDA; ESTOPPEL

This Lease shall be subordinate to any mortgage; Landlord shall provide a commercially reasonable non-disturbance agreement upon Tenant's request. Each party shall deliver estoppel certificates within 10 business days of request.

13. PARKING; LOADING; SECURITY

Tenant has exclusive use of 60 striped parking spaces and non-exclusive use of truck courts and loading docks. Tenant shall comply with posted traffic/safety rules. Landlord provides site lighting; Tenant provides any interior security systems.

14. EXPANSION; RENEWAL; HOLDOVER

Right of First Offer (ROFO) on contiguous space if offered to market, subject to existing rights. Renewal option mechanics: notice 9 months prior to expiration; base rent at Fair Market Rent (FMR) with a baseball arbitration mechanism if parties cannot agree within 30 days.

Holdover: tenancy at sufferance at 150% of the then-current Base Rent, plus consequential damages if holdover delays a new tenant after notice.

15. MISCELLANEOUS

Force Majeure; OFAC compliance; notices; severability; waiver; jury trial waiver; confidentiality of terms except as required by law or financing; authority of signatories.

IN WITNESS WHEREOF, the parties have executed this Lease as of the Effective Date.

Landlord:	Tenant:
By: ________________________________	By: ________________________________
Name: ______________________________	Name: ______________________________
Title: _______________________________	Title: _______________________________
Date: _______________________________	Date: _______________________________

EXHIBIT A – FLOOR PLAN DESCRIPTION (REFERENCE)

A textual description of the Premises sufficient for identification. The Premises consists of the square footage stated in the Key Terms; final rentable square footage shall be confirmed in a BOMA re-measurement within 30 days of the Commencement Date.

EXHIBIT B – RULES AND REGULATIONS

Standard building rules concerning safety, signage, deliveries, waste handling, noise, nuisance, and after-hours access. Landlord may amend on not less than 30 days' notice provided amendments are applied uniformly and do not unreasonably burden Tenant's permitted use.

EXHIBIT C – WORK LETTER / TENANT IMPROVEMENTS

Scope, schedule, delivery condition, TI allowance (if any), change orders, approvals, and lien waivers. Delays attributed to Tenant are Tenant Delay Days and postpone the Commencement Date accordingly.